

Investment Credit Memorandum

Stonehaven CLO 2024-1 | Granite Peak Resorts | 4 March 2024

1. Recommendation

Credit committee is asked to approve a \$6,600,000 allocation of the Granite Peak Resorts first-lien term loan into the Stonehaven CLO 2024-1 warehouse, and to roll that position into the CLO at closing. The borrower is Granite Peak Resorts, headquartered in Denver. The financial sponsor is Alpine Leisure Partners. Analyst: Chris Nolan. Committee chair: Fatima Rahman. Portfolio manager: Owen Briggs, Granite Harbor Management LLC.

Recommendation: Approve at a maximum par of \$6,600,000 (1.65% of the \$400,000,000 target CLO portfolio). The name sits inside the 2.0% single obligor concentration limit in the Stonehaven CLO 2024-1 indenture. Moody's corporate family rating is B1. S&P issuer credit rating is B+. The loan is US dollar denominated and is eligible collateral under the term sheet dated 12 March 2024.

2. Borrower and sponsor

Granite Peak Resorts operates in Lodging. The company is owned by Alpine Leisure Partners. Neither the sponsor nor the borrower is affiliated with Granite Harbor Management LLC.

Related book names in Stonehaven CLO 2024-1 include Prairie Grain Co., Midcontinent Rail LLC. Those names are separate obligors and should not be aggregated for the single obligor test.

3. Facility terms

Instrument: Granite Peak Resorts first-lien term loan. Spread: SOFR + 3.75% with a 0.75% floor. The credit agreement is covenant-lite. Twin Cities Warehouse is the warehouse lender to Stonehaven CLO 2024-1.

Investment Credit Memorandum

Stonehaven CLO 2024-1 | Granite Peak Resorts | 4 March 2024

4. Credit highlights and risks

Highlights: sponsor support from Alpine Leisure Partners, first-lien or unitranche collateral, and an allocation inside the 2.0% obligor cap.

Risks: sector cyclicity in Lodging and add-on acquisition risk. Chris Nolan confirmed that Moody's industry classification for Granite Peak Resorts is 'Lodging'.

5. CLO fit and covenants

The allocation complies with the Class A/B Overcollateralization Test methodology because the loan is par-eligible and rated B1. It uses 1.65 of the 2.00 percentage-point largest-obligor covenant. Owen Briggs confirmed the trade for Stonehaven CLO 2024-1.

If Granite Peak Resorts is downgraded to Caa1, the position would count toward the 7.5% Caa bucket in the Stonehaven CLO 2024-1 indenture. Citibank, N.A. would reflect that classification on the next monthly trustee report. Granite Harbor Management LLC would then evaluate a sale during the reinvestment period.

6. Committee decision

Credit committee of Granite Harbor Management LLC approved the \$6,600,000 purchase for the Stonehaven CLO 2024-1 warehouse on 4 March 2024. Voting members: Fatima Rahman (chair), Owen Briggs, and Chris Nolan. The trade will settle into the Twin Cities Warehouse warehouse and be conveyed to Stonehaven CLO 2024-1, Ltd. on the closing date of 28 March 2024.